



Figure 29.1 A broadening bottom leads to an Eve & Eve double bottom. The two Eve bottoms are wide and rounded appearing. Price climbed 67% after the breakout.

When buying demand prevails, price rises and continues to rise until sellers, viewing the stock as overbought, take profits. This selling pressure eventually stalls the upward move. When other traders see the upward momentum slowing, they dump their shares and down goes the stock.

When price drops to a low enough level, the smart money accumulates shares again, sometimes quietly and sometimes not. Others see the slowing downward price trend and predict a turn. They buy, too.

As price pulls out of its dive, more traders buy and the second Eve bottom forms as a gentle rounded-looking turn, often near the price of the first bottom. Price begins climbing again. When it approaches the high between the two bottoms, it often stalls there as traders take profit.

In a confirmed double bottom, the selling pressure does not send the price down again. Instead, traders sense the intrinsic strength and buy. This buying demand forces the price to tick up, moving above the high between